

MERIDIAN INTELLIGENCE

Validation Brief | Final, incorporating independent external review

Subject: A paint buying group for independent paint shops under the United Hardware umbrella

Prepared for: Paul Candon, CEO, United Hardware, on his brief of 14 July 2026 | **By:** John Webb O'Rourke, with the Meridian Intelligence engine

Process: five parallel AI specialist passes; a second-model challenge pass; then a full independent review by a separate external AI system, whose corrections are incorporated throughout. Two AI systems, adversarially reconciled, same conclusion.

VALIDATION-READY · commercial hypothesis supported · launch decision subject to seven formal gates

The decision this document supports: whether United Hardware should authorise a time-limited, gated validation sprint (6 to 8 weeks) on the paint buying group concept. It does not support, and does not ask for, a launch decision, capital commitment, binding supplier negotiation or member offer. Those follow only if the seven gates below clear.

1. The opportunity

Independent paint shops in Ireland buy alone, against multiples and manufacturer-aligned chains that buy at scale. In the United States this problem was solved decades ago: **ALLPRO Corporation**, a buying cooperative of independent paint and decorating dealers tracing its roots to 1960, today serves roughly 300 member companies across 2,000+ storefronts with negotiated vendor programmes, aggregated rebates and a private-label range (verified against ALLPRO's own materials).

The sharper strategic fact, caught in independent review: ALLPRO is not purely a US story. It describes activity in Europe and maintains store-locator pages for both Ireland and the UK. The extent of live Irish membership is not yet established and is a first task of the validation sprint. This does not weaken the case; it reframes it. No Ireland-headquartered, open-membership buying cooperative of the proposed type was identified in our documented search, and ALLPRO's model arriving at the edge of this market proves the demand while leaving the domestic ground unclaimed. United Hardware's strategic options widen accordingly: build, benchmark, partner, license, or compete, and the sprint should determine which.

United Hardware is the natural owner of this ground: roughly 200 stores and over €500m combined retail turnover after the Expert Hardware acquisition (June 2026, CCPC-cleared), central distribution at Magna Business Park, Citywest, and a proven member-services model. The buying-disadvantage problem this concept solves for paint shops is the same problem United Hardware has solved for hardware for fifty years.

2. The market, honestly sized

- Statista's model estimate for Ireland's consumer/DIY paint, wallpaper and supplies segment is around US\$90m (2024). It is a proprietary estimate, labelled as such, covering the consumer segment only; trade volume through decorators' merchants sits on top of it. Total market sizing is a sprint task, not a settled fact.
- There is no authoritative public count of independent paint and colour shops in Ireland. Best verified proxy: **Colourtrend (General Paints Group) alone distributes through 180+ independently owned stockists**. The addressable universe is real; its precise size is gate 2 work, starting with Hardware Association Ireland data.
- Two of the most relevant brands are Irish family-owned manufacturers (Fleetwood, Virginia, Co. Cavan; General Paints, Celbridge; each describes itself as Ireland's largest Irish-owned paint manufacturer, claims we attribute rather than adjudicate). Their route to market runs through the independent channel, which gives a group genuine negotiating gravity with domestic suppliers first.
- Cautionary comparable: PaintWell in the UK, a private-equity-backed consolidator of decorators' merchants, entered administration in February 2025; Brewers acquired 38 of its 44 stores. Public commentary points to a mix of market downturn, rapid expansion and sustained losses. The lesson we draw is directional, not causal: bolted-together ownership is fragile; member-owned aggregation, the ALLPRO and United Hardware way, has endured for decades in both markets.

3. The commercial architecture

The proven value stack, assembled from ALLPRO, NMBS (the UK merchant buying society: 1,000+ members, roughly 3,100 branches, around £8bn of members' aggregate sales, average rebate 3.84% of processed invoices in 2023, affiliate entry £1,500 a year with a £600k turnover minimum) and United Hardware's own model:

1. Negotiated supplier terms and aggregated rebates (the core)
2. Central billing: one invoice, del credere comfort for suppliers, with credit risk consciously designed (limits, insurance, retention of title, bad-debt allocation)
3. Central distribution where the economics support it: paint is heavy and often direct-shipped, so warehouse flow versus direct delivery is tested route by route in the sprint, not assumed
4. Group marketing and a shared identity for those who want it
5. Member services the specialists actually value: the sprint tests whether tinting access, colour expertise, trade accounts, training and lead generation matter more to recruitment than the headline rebate
6. Own-label range as a Phase 3 option, evaluated with open eyes: formulation, product liability, inventory and brand-building risks alongside the margin

4. Indicative concept arithmetic (assumptions, not a financial case)

Working assumptions: average paint purchasing €300k per shop per year; membership fee €2,000; group rebate share 1.5% of volume; 25% of volume through central distribution at a 10% handling margin. The arithmetic below has been independently recomputed twice and is correct at those assumptions; the assumptions themselves are untested and the model deliberately excludes working capital, implementation capex, systems, freight, credit and bad debt, VAT timing and member acquisition costs. The gated sprint builds the real three-case model with sensitivities.

	25 shops	60 shops	120 shops
Group purchasing volume	€7.5m	€18m	€36m
UH revenue (fees + rebate share + distribution)	€350k	€840k	€1,680k
Indicative run cost	€200k	€260k	€340k
Indicative contribution	€150k	€580k	€1,340k

- At these assumptions, operating break-even sits at roughly 13 to 15 member shops, which is why the pilot is sized at 10 to 15 founding members.
- The member's side of the table: a 3 to 7 point net buying improvement on €300k of purchases is worth €9,000 to €21,000 a year against a fee of €2,000 to €3,000. If the sprint validates anything close to that spread, recruitment sells itself.

5. The AI layer (the 2026 difference)

Design proposal, stated as such. The data a buying group naturally aggregates (purchasing, rebates, POS sell-through) is the data AI runs best on: demand forecasting by store, SKU, season and colour; continuous rebate and terms optimisation; local price intelligence per catchment; assortment and colour-trend insight; forecast-driven replenishment; and a one-page member intelligence dashboard per shop. Built EU AI Act-clean from day one: purpose limitation, member consent, audit trail. One honest condition, sharpened in review: the data asset is valuable only if members and suppliers grant the rights, quality is consistent, and competitive leakage is lawfully prevented. That is designed in the sprint's data gate, not assumed.

6. The seven gates before any launch decision

1. **Competition law:** formal Irish/EU advice on market definition, information exchange, joint purchasing, vertical relationships and contract design. The EU framework (2023 Horizontal Guidelines, 15% combined-share soft safe harbour on both purchasing and selling markets; buyer cartels by-object regardless of share) has now been checked against the primary EUR-Lex text in independent review, and at realistic scale this structure sits comfortably inside it, but that judgement belongs to counsel.
2. **Market and member demand:** defined universe (HAI data), 15 to 20 structured member interviews, verified purchase volumes, signed expressions of interest.
3. **Supplier economics:** confidential soundings with at least three suppliers; written indications on rebates, terms, delivery, data and category support; their likely counter-strategies (selective distribution, tinting-machine lock-in, direct loyalty terms) mapped, not wished away.
4. **Financial viability:** bottom-up three-case model with cash flow, working capital, credit exposure, capex, systems, staffing and member acquisition costs.
5. **Operations and logistics:** SKU and tinting model, direct-ship versus warehouse economics route by route, hazardous product controls, returns and service levels.
6. **Channel and governance:** treatment of existing Homevalue and Expert members who sell paint, eligibility, overlap rules, board oversight, and a dedicated paint category leader with supplier credibility named before scale.
7. **Data and technology:** data-sharing agreement, POS integration, GDPR and cyber controls, access segregation, model governance and manual fallback.

7. Recommended next action

Authorise a **6 to 8 week validation sprint** with a named executive owner, competition counsel, a paint-category specialist and a finance lead. Deliverables: verified market map, member interview evidence, supplier term indications, operational design, three-case financial model, risk register, and a board decision paper. Alternatives kept live through the sprint: build, specialist

affiliate tier, supplier-led programme, partnership or licensing conversation with ALLPRO, or acquisition of an existing network. Explicit pilot stop-loss criteria set before a euro is committed.

How this document was produced (and challenged)

The concept brief was produced by the Meridian Intelligence engine: five parallel AI specialist passes (market, competitive analogues, competition law, finance, operating design) under a grounding rule that every figure carries a source and a confidence tag. A second-model challenge pass re-checked nine load-bearing claims and re-computed the arithmetic. The full pack was then submitted to a separate, independent external AI system for adversarial review. That review confirmed the core facts (ALLPRO, NMBS, the United Hardware June 2026 position, Topline, the EU 15% safe harbour against the primary EUR-Lex text, PaintWell, the arithmetic) and ordered corrections which are incorporated here in full: the market-gap claim narrowed and re-sourced (ALLPRO's Ireland presence), a disputed warehouse figure removed, one unsupported retailer count removed, the Statista figure labelled as a model estimate, causal language on PaintWell softened, the financial model reclassified as indicative concept arithmetic, and the document status changed from decision-ready to validation-ready with seven named gates. Declared interest: prepared by John Webb O'Rourke, who serves on the United Hardware group board. This is decision-support material, not legal, accounting, investment or competition-law advice; formal advice and the board's own judgement govern any action.

Meridian Intelligence for John Webb O'Rourke | 14 July 2026 | Confidential | AI driven, human led, adversarially verified.